



Sole proprietorships and partnerships

The simplest business structures are those formed by one person as a sole proprietor, or by two or more people as a partnership, for commercial activity. Many cost little to set up and some are easy to run.

How it works

Many businesses start out as the most basic unit—either a sole proprietor or a partnership. A sole proprietor is an individual who is the only owner of the business. This structure is easy to set up and there are no extra taxes to pay, unlike with a company. Instead, the sole proprietor files a personal tax return. There is risk attached, though. A sole proprietor has unlimited liability, so if the business fails, the owner must personally pay debts. Partnerships have more than one owner, and each can be held liable for the whole debt of the business in case of failure.

Pros and cons

Both sole proprietorships and partnership structures are excellent for anyone starting out or running a small business—as long as the business stays out of debt: owners are personally liable for business debts.



Unlimited liability:
business debts
paid personally



NEED TO KNOW

- **Firm** Collective term for individuals in a partnership
- **Limited liability partnership (LLP)** Partners not personally accountable for business debts



Tax-efficient
way to be
self-employed



Simple
registration
process



Little
capital
needed



Easy to move from
sole proprietor to
company status



Schedule C
filed with IRS
Form 1040



Trade under own
name or chosen
business name



Keep all business
profits after paying
tax on them

Sole proprietorship

Working alone requires only simple administration and relatively few start-up costs.